RW–10909

Sub. Code
611506

M.Com. DEGREE EXAMINATION, APRIL 2016

Third Semester

Commerce

PRINCIPLES OF FOREX MANAGEMENT

(2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Section A (5 × 3 = 15)

Answer **all** the questions.

All questions carry equal marks.

1. State the meaning of Direct and Indirect quotations.
2. What is technical analysis in Forex Market?
3. Write note on "LORO".
4. What is "Translation Risk"?
5. State the need for FEMA 2000.

Section B (5 × 10 = 50)

Answer **all** the questions, choosing either (a) or (b).

All questions carry equal marks.

6. (a) Who are the participants in a foreign exchange market? What is the role of exchange brokers in the present-day online trading?

Or

(b) Describe the various foreign exchange markets.

7. (a) The floating rates of exchange truly reveal the purchasing power parties of currencies in terms of each other. Discuss.

Or

(b) Explain the mechanism of fixed exchange rates.

8. (a) Describe the features of Floating Rates systems.

Or

(b) Explain the need and forms of exchange control measures.

9. (a) Forward contract on palladium are available in New York. Each contract is for 100 ounces of the metal, deliverable after six months. The current spot price is $ 300 per ounce and storage costs are $ 5 per ounce per month, payable at the end of the contract.

The riskless rate of interest is 6% per annum.

(i) What should be the no-arbitrage forward price?

(ii) If the forward price is $ 350 per ounce, how can one exploit the arbitrage opportunity?

(iii) If the forward price is $ 330 per ounce, how can one exploit the arbitrage opportunity?

Or

(b) You, as a foreign exchange dealer of your bank, are informed that your bank has sold a T.T. on Copenhagen for Danish Kroner 10,00,000 at the rate of Danish Kroner 1 = Rs. 6.5150. You are required to cover the transaction through London or New York whichever course offers you a more profitable rate. The rates on that date are as under :

Mumbai – London	Rs.74.3000	74.3200
Mumbai – New York	Rs.49.2500	49.2625
London – Copenhagen	DKK 11.4200	11.4350
New York – Copenhagen	DKK 7.5670	7.5840

Will you cover the transaction through London or New York and what will be the exchange profit on the transaction? Ignore brokerage at all centers.

10. (a) Explain the provisions relating to export of goods and services under FEMA 2000.

Or

(b) Explain the trend, composition of foreign exchange reserves of India.

Section C (1 × 10 = 10)

Compulsory questions.

11. Your exporter-customer has requested you to book a fixed date TT forward contract for Swiss Francs 5,00,000 in respect of an export bill due for payment 180 days from the date of the contract. Assuming .you cover yourself by sale of Swiss France in London market for the corresponding delivery date when the exchange rates for Swiss Francs were as under :

Spot	USD 1 = CHF 1.6120/6165
One month	90/58
Three months	165/160
Six months	330/320

And US dollars are quoted in the local inter bank market as under :

Spot	USD 1 = Rs.48.4025/4175
One month	48.6550/6725
Three months	48.8550/8750
Six months	49.2550/2800

Calculate the exchange rate and the rupee amount payable to the customer bearing in mind the following :

(a) An exchange margin of 0.08% is required.

(b) Rupee equivalent to be nearest to the whole rupee.

RW–10717

Sub. Code
611202

M.Com. DEGREE EXAMINATION, APRIL 2016

Second Semester

BUSINESS RESEARCH METHODS

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Section A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. What do you think are major sources of research problems?

2. What is meant by :

   (a) Dependent variables

   (b) Independent variables.

3. What the advantages and disadvantages of secondary data?

4. Explain the concepts of mean, median and mode.

5. Are writing for publication different from writing up the thesis? How?

Section B $(5 \times 10 = 50)$

Answer **all** questions.

All questions carry equal marks.

6. (a) Why is research often considered as a process-and not only as an outcome? What is research process?

Or

(b) Explain why cluster sampling is a probability sampling design.

7. (a) There is an advantage in stating the hypothesis both in the null and in the alternate its ads clarity to our thinking of what we are testing. Explain.

Or

(b) What are the basic research design issues? Describe them in some detail.

8. (a) Define group interview, for what research purposes do you consider focus group interviewing appropriate?

Or

(b) A sample of 10 observations gave a standard deviation of $\sqrt{28}$. Is this compatible with the hypothesis that the sample is from a normal population with variance 14?

9. (a) The coefficient of rank correlation of the marks obtained by 10 students in statistics and accountancy was found to be 0.8. It was later discovered that the difference in ranks in the two subjects obtained by one of the students was wrongly taken as 7 instead of 9 find the correct coefficient of rank correlation.

Or

(b) How is the interval scale more sophisticated than the nominal and ordinal scales?

10. (a) How have technological advancements helped in writing and presenting research reports?

Or

(b) What aspects of a class research project would be stressed by you in the written report and in the oral presentation?

Section C $(1 \times 10 = 10)$

(Compulsory questions)

11. A production manager want to asses the reactions of blue color workers in his department to the introduction of computer — integrated manufacturing (CIM) systems. He is particularly interested to know how they perceive the effects of CIM on :

(a) Their future jobs.

(b) Additional training that they will have to receive for future job advancement.

(c) Design questionnaire for the production manager.

RW–10718

Sub. Code
611203

M.Com. DEGREE EXAMINATION, APRIL 2016

EXPORT-IMPORT DOCUMENTATION

(CBCS 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Section A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. Elucidate the procedure for availing credit insurance.

2. What is meant by cargo insurance?

3. Write notes on DFIA.

4. What is the purpose of introducing DBK scheme?

5. Briefly discuss the export promotion councils.

Section B (5 × 10 = 50)

Answer **all** questions, choosing either (a) or (b).

All questions carry equal marks.

6. (a) Discuss the Export Credit Insurance and Services of Export Credit.

Or

(b) Elaborate the framework of export/import orders.

7. (a) Describe the procedure and documents required for shipment of cargo.

Or

(b) Explain the procedure for marine insurance claims.

8. (a) What are the general provisions regarding exports and imports?

Or

(b) Explain in detail about DFRC.

9. (a) Write about central excise benefits schemes.

Or

(b) Explain :

(i) Commodity boards

(ii) Indian Trade Promotion Organization.

10. (a) What is the role played by Indian Institute of Foreign Trade?

Or

(b) Explain Export Promotion Council in detail.

Section C $(1 \times 10 = 10)$

(Compulsory question)

11. Discuss the role of Export Credit Guarantee Corporation in export financing.

RW–10719

Sub. Code
611204

M.Com. DEGREE EXAMINATION, APRIL 2016

MANAGERIAL COMMUNICATION

(2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. Define communication and explain the objectives of managerial communication.

2. What are the uses of appropriates Tenses?

3. Give the structure or layout of Business Letter.

4. State the importance of Executive summary.

5. State the importance of Export - Import Communication.

Part B (5 × 10 = 50)

Answer **all** questions choosing either (a) or (b).

All questions carry equal marks.

6. (a) Describe the strategies for communicating across different cultures.

Or

(b) Elucidate the role of Electronic Technology in global managerial communication.

7. (a) Narrate the various aspects involved in Vocabulary Building.

Or

(b) Write notes on any two of the following:

(i) Uses of Acronyms

(ii) Global Nuances

(iii) Axioms

8. (a) Explain the various types of report writing with purposes.

Or

(b) What are the principles of business writing? Describe the 3Ps of managerial writing for goodwill messages.

9. (a) Elucidate the format of International Business Letters with suitable example.

Or

(b) What are the contents of International Business Reports? Explain with an example.

10. (a) Elucidate the format of business Letters for claims with ECGC under credit risk insurance with suitable example.

Or

(b) Give a specimen for Correspondences with Clearing and Forwarding Agents.

Part C (1 × 10 = 10)

Compulsory Question

11. Reliance wants to market their products in Gulf Countries. However, the marketing manager wants to find the possibility of various modes of entry into these countries. You are required to design necessary aids in the way of writing letter to help the marketing manager. Discuss.

RW–10720

Sub. Code
611504

M.Com. DEGREE EXAMINATION, APRIL 2016

Second Semester

FINANCIAL MANAGEMENT TECHNIQUES

(2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. State briefly the importance of financial management.

2. Explain the two concepts of working capital.

3. How will you compute the cost of debt capital?

4. What is meant by capital rationing?

5. What is meant by dividend policy? State the different types of dividend policy.

Part B (5 × 10 = 50)

Answer **all** questions, choosing either (a) or (b).

All questions carry equal marks.

6. (a) Explain the goals of financial management.

Or

(b) How the financial decision making involves risk-return trade off?

7. (a) Discuss the different sources of working capital.

Or

(b) X Ltd. is engaged in customer retailing. You are required to forecast its working capital requirements from the following information.

Projected Annual Sales – Rs.6,50,000

Percentage of N.P. on cost of sales – 25%

Average credit allowed to debtors – 10 weeks

Average credit allowed to creditors – 4 weeks

Average stork carrying – 8 weeks
(in terms of sales requirement)

Add 20% to allow for contingencies.

8. (a) Nippon Ltd. has issued 40000 shares of Rs. 10 each fully paid. The company has earned a profit of Rs.40,000 after tax. The market price of these shares is Rs.16 per share. The company has paid a dividend of Re.0.80 per share. Calculate the cost of equity on the basis of

(i) Dividend yield method and

(ii) Earnings price method.

Or

(b) From the following data, determine the operating leverage. Which company has the greater amount of business risk?

	Company X Rs.	Company Y Rs.
Sales	50,00,000	60,00,000
F.cost	15,00,000	30,00,000

Variable cost as a percentage of sales are 50% for firm X and 25% for firm Y.

9. (a) A project costs Rs.50,000 and has a scrap value of Rs.10,000. Its stream of incomes before depreciation and taxes during the first five years are Rs.10,000; 12,000; 14,000; 16,000 and 20,000. Assume a 50% tax rate and depreciation on original cost basis. Calculate the ARR.

Or

(b) From the following, calculate IRR.

Initial investment – Rs. 1,80,000

Life of the asset – 4 years

Estimated net annual cash flows :

Year	Rs.
I	45,000
II	60,000
III	90,000
IV	60,000

10. (a) Explain the assumptions, implications and criticisms of Walter's model of dividend policy.

Or

(b) Explain the Modigliani – Miller hypothesis of dividend irrelevance. Does this hypothesis suffer from deficiencies.

Part C $(1 \times 10 = 10)$

Compulsory question.

11. Devji Ltd. has an EBIT of Rs. 4,50,000. The cost of debt is 10% and the outstanding debt is Rs.12,00,000. The overall capitalisation rate (K_o) is 15%. Calculate the total value of the firm and equity capitalisation rate under NOI approach.

RW–10721

Sub. Code
611702

M.Com. DEGREE EXAMINATION, APRIL 2016

QUANTITATIVE TECHNIQUES

(2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A $(5 \times 3 = 15)$

Answer **all** questions.

All questions carry equal marks.

1. What do you mean by degeneracy in transportation problem?
2. State the relation between Binomial, Poisson and Normal Distributions.
3. Discuss the advantages and disadvantages of simulation.
4. Discuss the concept of decision theory, and explain the steps in decision making process.
5. State the difference between correlation and regression analysis.

Part B $(5 \times 10 = 50)$

Answer **all** questions.

All questions carry equal marks.

6. (a) Solve the following LPP using graphical method :

Maximize : $Z = 5x_1 + 4x_2$

Subject to $1.5x_1 + 2.5x_2 \leq 80$, $2x_1 + 1.5x_2 \leq 70$

$x_1, x_2 \geq 0$.

Or

(b) Discuss the relationship between the primal and dual problems, and compare the optimal solutions for the same with illustration.

7. (a) A firm owns facilities at six places. It has manufacturing plants at places A, B, and C with daily production of 50, 40, and 60 units respectively. AT point D, E, and F it has three warehouses with daily demands of 20, 95 and 35 units respectively. Per unit shipping costs are given in the following table. If the firm wants to minimize its total transportation cost, how should it route its products? Warehouse

		Warehouse		
		D	E	F
	A	6	4	1
Plant	B	3	8	7
	C	4	4	2

Or

(b) Discuss the concept of Binomial distribution and Poisson distribution and explain their properties.

8. (a) A box contains 3 red and 7 white balls. One ball is drawn at random and in its place a ball of the other color is put in the box. Now one ball is drawn at random from the box. Find the probability that it is red.

Or

(b) The rate of arrival of customers at a public telephone follows Poisson distribution, with an average time of ten minutes between one customer and the next. The duration of a phone call is assumed to follow exponential distribution with a mean time of three minutes.

(i) What is the probability that a person arriving at the booth will have to wait?

(ii) What is the average length of the queue?

(iii) The BSNL will install another booth when it is convinced that the customers would have to wait for at least three minutes for their turn to make a call. How much should be the flow of customers in order to justify a second booth?

9. (a) Discuss the principles which may be employed for taking decisions under uncertainty conditions.

Or

(b) Informatics Corporation summarizes international information reports (on a weekly basis), prints sophisticated data and forecasts, which are purchased weekly by mutual funds, banks and insurance companies. This information is very expensive and the demand for the reports is limited to a maximum of 30 units. The possible demands are 0, 10, 20 and 30 reports per week. The profit per report sold is Rs. 30 and the loss per report unsold is Rs. 20. No production of extra reports during a week is possible. Further, there is a penalty cost of Rs. 250 for not meeting the demand. Unsold reports cannot be carried on to the next week. Using the pay-off table, find out the number of reports to be produced if :

(i) Maximin or pessimistic strategy is adopted

(ii) Maximax or optimistic strategy is used

10. (a) What are the significances of studying correlations? Explain different types of correlation with examples

Or

(b) The following table shows the ages (X) and blood pressure (Y) of 8 persons

X :	52	63	45	36	72	65	47	25
Y :	62	53	51	25	79	43	60	33

Obtain the regression equation of V on X and find the expected blood pressure of a person who is 49 years old.

Part C $(1 \times 10 = 10)$

Compulsory.

11. To stimulate interest and provide an atmosphere for intellectual discussion the finance faculty in a management school decides to hold special seminars on four contemporary topics — leasing, portfolio management private mutual funds, swaps and options. Such seminars should be held once per week in the afternoons, However, scheduling these seminars (one for each topic, and not more than one seminar per afternoon) has to be done carefully so that the number of students unable to attend is kept to a minimum. A careful study indicates that the number of students who cannot attend a particular seminar on a specific day is as follows :

	Leasing	Portfolio management	Private mutual funds	Swaps and options
Monday	50	40	60	20
Tuesday	40	30	40	30
Wednesday	60	20	30	20
Thursday	30	30	20	30
Friday	10	20	10	30

Find the optimal schedule of the seminars. Also who will be missing at least one seminar?

RW–10722

Sub. Code
611401

M.Com. DEGREE EXAMINATION, APRIL 2016.

ADVANCED COST ACCOUNTING

(2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Section A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. State the significance of cost and cost accounting.
2. How joint products differ from by products?
3. What do you meant by inter processes profit?
4. State the difference between cot control and cost reduction.
5. Write note on "Life Cycle Costing".

Section B (5 × 10 = 50)

Answer **all** questions, choosing either (a) or (b).

All questions carry equal marks.

6. (a) Prepare a Stores ledger Account and enter the following transactions by adopting the weighted average method of pricing.

2009 Aug. 1	Opening balance 50 units @ ₹ 30 per unit
Aug. 4	Issued 20 units.
Aug. 8	Purchased 48 units @ ₹ 40 per unit

	Aug. 9	Issued 20 units.
	Aug. 15	Purchased 76 units @ ₹ 30 per units
	Aug. 22	Received back into stores 19 units out of 20 units issued on Aug.
2009	Aug. 30	Issued to production 10

Or

(b) A factory consists of three Production Departments viz., Turning. Milling and Grinding. Though maintenance is done by the departments, the factory keeps four service departments too viz., Stores, Planning, Canteen and Time Office. For the month of December 2011 the Direct Departmental Expenses were recorded as follows.

	₹		₹
Turning	72,000	Stores	36,000
Milling	84,000	Planning	60,000
Grinding	1,08,000	Canteen	48,000
		Time Office	12,000

The expenses of Stores are to be distributed on a percentage basis, viz., 20%, 40%, 40% to Turning. Milling and Grinding respectively. The expenses of planning are to he apportioned on the basis of Machine Hours worked and those of Canteen and Time Office according to number of men employed in Production Departments.

Men employed	No. of hours worked	
22	10,000	Turning
32	15,000	Milling
46	25,000	Grinding

Prepare a statement showing the distribution of the Service Department's Expenses to the Production Departments and also determine the final absorption rate.

7. (a) A firm of building contractors began to trade on 1st April 2009. The following was the expenditure on the contract for ₹3,00,000: Materials issued to contract ₹ 51,000; Plant used for contract ₹ 15,000; Wages incurred ₹ 81,000; Other expenses incurred ₹ 5,000.

Cash received on account to 31st March, 2010, amounted to ₹ 1,28,000 being 80% of the work certified. Of the plant and materials charged to the contract, plant which cost, ₹ 3,000 and materials which cost ₹ 2,500 were lost. On 31st March 2010 plant which cost ₹ 2,000 was returned to store, the cost of work done but uncertified was ₹1,000 and materials costing ₹ 2,300 were in hand on site.

Charge 15% depreciating on plant, and take to the profit and loss account 2/3 of the profit received. Prepare the contract account, contractee's account.

Or

(b) Mr. Sohan Singh has started transport business with a fleet of 10 taxies. The various expenses incurred by him are given below :

(i) Cost of each taxi ₹ 75,000

(ii) Salary of office staff ₹ 1,500 p.m.

(iii) Salary of garage staff ₹ 2,000 p.m.

(iv) Rent of garage ₹ 1,000 pp.

(v) Driver's salary (per taxi) ₹ 400 pp.

(vi) Road tax and repairs per taxi ₹ 2,160 pa.

(vii) Insurance premium @ 4% of cost pa.

The life of a taxi is 3,00,000 km and at the end of which it is estimated to be sold at ₹ 15,000. A taxi runs on an average 4,000 km per month of which 20% it runs empty. Petrol consumption is 9 km per litre of petrol costing ₹ 6.30 per litre. Oil and other sundry expenses amount to ₹ 10 per 100 km Calculate the effective cost of running taxi per km. if hire charge is Rs. 1.80 per km., find out the profit Mr. Sohan Singh may expect to make in the first year of operation.

8. (a) Product X is obtained after it is processed through three distinct processes. The following cost information is available for the operation.

		Process		
	Total ₹	I ₹	II ₹	III ₹
Direct Materials	5,625	2,600	2,000	1,025
Direct wages	7,330	2,250	3,680	1,400
Production overheads	7,330	–	–	–

500 Units @ ₹ 4 per unit were introduced in Process I. Production Overhead to be distribute as 100 % in Direct Wages.

The Actual Output and Normal loss of the respective processes are :

	Output unit	Normal loss on input	Value of Scrap per unit ₹
Process I	450	10%	2.00
Process II	340	20%	4.00
Process III	270	25%	5.00

There is no stock or work-in progress in any process. Show (i) the three Process Accounts. (ii) The Normal Loss account; and (iii) Abnormal Loss and Abnormal Gain account.

Or

(b) In Process A 2000 units were introduced during one month. The normal loss was estimated @ 5% of input. At the end of the month 460 units were incomplete. The stage of completion is as follows :

Material	75 %
Labour	50 %
Overhead	50 %

Prepare statement of equivalent production; however the following changes may be taken into consideration.

Finished product	1,400 units
Work in progress	460 units
Normal loss	5%

9. (a) The information regarding the composition and hourly wage rates engaged on a job scheduled to be completed in 30 hours are as follows :

Category of workers	Standard		Actual	
	No. of workers	Hourly wage rate per worker	No. of workers	Hourly wage rate per worker
		₹		₹
Skilled	75	6	70	7
Semi skilled	45	4	30	5
Un-skilled	60	3	80	2

The work was completed in 32 hours. Calculate labour variances.

Or

(b) "Marginal costing as a tool of cost ascertainment and control" Discuss.

10. (a) Describe the utility of relevant and irrelevant cost for decision making.

Or

(b) Explain the application of "Activity Based Costing".

Section C (1 × 10 = 10)

Compulsory question.

11. The following extracts of costing information relates to commodity A for the half-year ending 31st March 2010.

	₹
Purchase of raw materials	1,20,000
Works overheads	48,000
Direct Wages	1,00,000
Carriage on Purchases	1,440
Stock (1st October 2009) :	
Raw materials	20,000
Finished Products (1,000 tons)	16,000
Stock (31st March 2010) :	
Raw materials	22,240
Finished Products (2,000 tons)	32,000
Work-in-progress (1st October 2009) :	4,800
Work-in-progress (31st March 2010) :	16,000
Sales Finished Products	3,00,000

Selling and distribution overheads are Re. 1 per ton sold. 16,000 tons of commodities were produced during the period.

You are to ascertain (a) Cost of raw materials used; (b) Cost of output for the period; (c) Cost of sales; (d) Net Profit for the period, and (e) Net profit per ton of the commodity.

RW–10723

Sub. Code
611402

M.Com. DEGREE EXAMINATION, APRIL 2016

BANKING AND FINANCIAL SERVICES

(CBCS 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. What is core banking?

2. What do you understand by the term 'prudential norms'?

3. Expand the 'CAMELS' framework for composite evaluation of banks.

4. Distinguish between merger and takeover.

5. What is 'Demat' service?

Part B (5 × 10 = 50)

Answer **all** questions, choosing either (a) or (b).

All questions carry equal marks.

6. (a) Explain the modern functions of a commercial bank.

Or

(b) Discuss the significance of rural and indigenous banking.

7. (a) Identify technological issues that subscribe to competition among banking services. Provide examples.

Or

(b) Discuss the approaches used to measure liquidity risk at balance sheet level.

8. (a) Explain the types of lending undertaken by commercial banks.

Or

(b) How banks increase their statutory reserves? What is the purpose of maintaining statutory reserves?

9. (a) Discuss the types of leasing.

Or

(b) Explain the reasons for banks opting for mergers with an example.

10. (a) Discuss the nature and scope of retail banking.

Or

(b) Discuss the additional facilities and services extended by credit and service providers.

Part C $(1 \times 10 = 10)$

(Compulsory)

11. Imagine you are the issue manager. (a) Enumerate the details that you would place on the prospectus and (b) the factors which you would consider to decide the **premium** on pricing of the issue.

RW–10724

Sub. Code
611403

M.Com. DEGREE EXAMINATION, APRIL 2016

Fourth Semester

PORTFOLIO MANAGEMENT

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

1. State the basic investment objectives.
2. Differentiate between return and risk.
3. What is valuation of equity shares?
4. Detail the procedure to calculate expected rate of return of a portfolio.
5. The portfolio of Mr. Vel had a beginning value of Rs. 100 lakh and after a year an ending value of Rs. 135 lakh. If Mr. Vel receives Rs. 12.5 lakh at the end of 6 months as dividends then calculate Money Weighted Rate of Return [MWROR] of Mr. Vel portfolio.

Part B (5 × 10 = 50)

Answer **all** questions choosing either (a) or (b).

6. (a) Discuss in detail the various reasons for the emerging popularity of investment in India.

Or

(b) Discuss briefly the steps involved in the portfolio management process. Following are the price and other details of 3 stocks.

Stock	Price Beginning	Dividend Paid	Ending Price
X	30	3.40	34
Y	72	4.70	69
Z	140	4.80	146

Construct a portfolio with these securities having the proportion as 0.3, 0.5 and 0.2 assume the standard deviation (in terms of percentage) to be 6, 9 and 10 for stock A, B and C respectively. What is the portfolio return?

7. (a) "No investment is risk free" – Discuss.

Or

(b) The following 3 portfolios provide the particulars given below.

Portfolio	Average annual Returns	Standard Deviation	Correlation Co-efficient
A	18	27	0.8
B	14	18	0.6
C	15	8	0.9
Market	13	12	–

Risk free rate of interest is 9%.

(i) Rank these portfolios using Sharpe's and Treynor method.

(ii) Compare both the indices.

8. (a) Discuss the relationship between fundamental analysis and efficient market hypothesis.

Or

(b) Detail the Dow Theory and how is it used to determine the direction of stock market.

9. (a) Discuss the concept and process of portfolio construction.

Or

(b) What is mutual fund? Brief the types of mutual funds in capital market.

10. (a) Explain the types of risks in derivatives.

Or

(b) A bond has a remaining maturity of 3 yrs. It pays a coupon of 8% annually and is currently traded at par value of Rs. 100.

(i) Calculate the duration of the bond.

(ii) Explain how equity portfolios are managed.

(iii) Explain how Portfolios are managed using Future and options.

Part C $(1 \times 10 = 10)$

Compulsory.

11. You are young derivates trader. This is your first month on a corporate desk. A long time client with substantial exports to Australia calls up. The client is expecting an inflow of AUD 200 million in six months time. During the discussion, it transpires that there are no direct options contracts for the dates the client is looking for. The client has burnt his fingers in earlier options contracts, when the market moved against and an American Put go exercised. 287 You suggest that the client can hedge this by a forward sale, purchase of a put option or by a strategy known as covered call writing. After the days trading is over you meet the chief trader and discuss this deal. The chief trader is not amused. Why? Compare the

possibilities and explain using options algebra. You succeed in convincing our client to take a suitable option on AUD 100 million and a 6-month forward on remaining AUD 100 million though USD. You are able to make a neat sum through this deal for your company. Once again your chief trader is not happy with you. He is asking what if the portfolio of the client sees large movements. You say you have tested if for delta neutrality. Convince the chief trader. It seems that the chief trader is out to test your knowledge. Now, you are asked to report the impact of cross currency movement on all the Greeks of this client's portfolio.

Questions :

(a) What information do you need? What analysis will you carry out?

(b) How will you communicate with client and chief trader?

RW–10725

Sub. Code
611404

M.Com. DEGREE EXAMINATION, APRIL 2016

INDIRECT TAX LAW AND TAX PLANNING

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. Define 'point of taxation'.

2. What is a 'taxable event'?

3. What is the meaning of 'advance ruling' under central excise?

4. Enumerate any three functions of customs officers.

5. Who is a 'dealer' under the CST Act?

Part B (5 × 10 = 50)

Answer **all** the questions, choosing either (a) or (b).

All questions carry equal marks.

6. (a) Discuss the merits and demerits of indirect taxes.

Or

(b) Describe the procedure for registration of service providers under service tax rules.

7. (a) Explain the central excise valuation rules to determine 'assessable value'.

Or

(b) Explain the types of clearances of excisable goods.

8. (a) Describe the procedure for claiming duty drawback of central excise.

Or

(b) Describe the different remissions and exemptions under central excise Act of 1944.

9. (a) What are 'notified goods' and what are the duties of persons possessing 'notified goods'?

Or

(b) 'A' exported a consignment under drawback claim consisting of the following items:

Particulars Serial/Sub-serial FOB value Drawback rate –

(i) 200 pieces of pressure stoves mainly of brass @ Rs. 80/piece 74.04 Rs. 16,000 4% of FOB,

(ii) 200 kg Brass utensils @ Rs. 200 per kg. 74.13 Rs. 40,000 Rs. 24/kg

(iii) 200 kg Artware of brass @ Rs. 300/Kg 74.22 Rs. 60,000 17.50% of FOB subject to a maximum of Rs. 38/per kg.

On examination in docks, weight of brass artware was found to be 190 Kgs and was recorded on shipping bill. Compute the drawback on each item and total drawback admissible to the party.

10. (a) Discuss the principles which determine 'interstate sale' under the CST Act.

Or

(b) A dealer effected the following sales during the first quarter of 2011-12 (April to June) –

(i) Invoice No. 1171 dt. 2.4.10 for Rs. 26,000 plus tax @2%

(ii) Invoice No. 1172 dt. 19.4.10 for Rs. 70,000 plus tax @2%

(iii) Invoice No. 1173 dt. 2.5.10 for Rs. 52,000 (inclusive of tax)

(iv) Invoice No. 1174 dt. 4.6.10 for Rs. 12,200 plus tax @2%

(v) Invoice No. 1175 dt. 25.6.10 for Rs. 20,000 plus tax @2%

(vi) Goods worth Rs. 6,100 (exclusive of tax) against invoice No 1174 were returned on 28.6.2010

(vii) Goods worth Rs. 5,200 (inclusive of tax) sold on 25.12. 2009 were returned on 30.6.2010.

All the goods were made in the course of inter-state trade. Calculate the turnover and sales tax payable if the rate of tax is 4%.

Part C $(1 \times 10 = 10)$

Compulsory

11. (a) Ms Priya rendered taxable services to a client. A bill of Rs. 40,000 was raised on 29-4-2011. Rs. 15,000 was received from a client on 1-7-2011 and the balance on 23/10/2011. No service tax was separately charged in the bill.

(i) Is Ms Priya liable to pay service tax, even though the same has not been charged by her? (2)

(ii) What would be the due date for payment of service tax on 'receipt basis' and 'cash basis'? (3)

(b) M/s XYZ. are in the business of supplying "Turbo-alternators" to various customers. They manufacture steam turbines in the factory, which are removed to the customer's site on payment of Central Excise Duty. They purchase duty paid alternators from the market which are delivered at the customer's site. M/s XYZ assemble both the items and fix them permanently on a platform at the site. Department demands central excise duty payable on "Turbo alternator', when it comes into existence after being assembled on the platform embedded to the earth. Discuss whether the view taken by the department correct? (5)

RW–10726

Sub. Code
611507

M.Com. DEGREE EXAMINATION, APRIL 2016

Fourth Semester

STRATEGIC BUSINESS MANAGEMENT

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

1. Define environmental scanning.

2. What is PEST analysis?

3. Write note on Mergers and Acquisition.

4. Brief the application of six sigma.

5. What is SBU?

Part B (5 × 10 = 50)

Answer **all** either (a) or (b) in the given questions.

6. (a) Explain the components of strategic management process.

Or

(b) What is strategic planning? Discuss the steps involved in strategic planning process.

7. (a) Describe Porter's five forces model and McKisnsey's 7 S frameworks in detail.

Or

(b) Explain the generic and grand business strategies with suitable examples.

8. (a) Discuss the challenges and opportunities of strategic alliances with international organizations.

Or

(b) Elucidate the need of Business Process Reengineering and how it supports the strategic growth.

9. (a) Discuss the contribution of Deming and Juran for quality management.

Or

(b) "Innovative companies have a competitive edge in the marketplace" – Discuss the importance of core competence and market leadership.

10. (a) Explain the approaches used by strategists for Organizational Appraisal with suitable examples.

Or

(b) Detail the role of ethics, corporate governance and corporate social responsibility for gaining strategic advantage of an organization.

Part C (10 marks)

Compulsory

11. DoorDharshan (DD) is the India's premier public service broadcaster with more than 1,000 transmitters covering 90% of the country's population across an estimated 70 million homes. It has more than 20,000 employees managing its metro and regional channels. Recent years have seen growing competition from many private channels numbering more than 65 and the cable and satellite operators (C & S). The C & S network reaches nearly 30 million homes and is growing at a very fast rate.

DD's business model is based on selling half-hour slots of commercial time to the programme producers and charging them a minimum guarantee. For instance, the present tariff for the first 20 episodes of a programme is Rs. 30 lakhs plus the cost of production of the programme. In exchange the producers get 780 seconds of commercial time that he can sell to advertisers and can generate revenue. Break-even point for producers, at the present rates, thus is Rs. 75,000 for a 10 second advertising spot. Beyond 20 episodes, the minimum guarantee is Rs. 65 lakhs for which the producer has to charge Rs. 1,15,000 for a 10 second spot in order to break-even. It is at this point the advertisers face a problem – the competitive rates for a 10 second spot is Rs. 50,000. Producers are possessive about buying commercial time on DD. As a result the DD's projected growth of revenue is only 6-10% as against 50-60% for the private sector channels. Software suppliers, advertisers and audiences are deserting DD owing to its unrealistic pricing policy. DD has three options before it. First, it should privatize, second, it should remain purely public service broadcaster and third, a middle path. The challenge seems to be to exploit DD's immense potential and emerge as a formidable player in the mass media.

Questions :

(a) What is the best option, in your view, for DD?

(b) Analyse the SWOT factors the DD has.

(c) Why do you think that the proposed alternative is the best?

RW–10727

Sub. Code
611704

M.Com. DEGREE EXAMINATION, APRIL 2016

Fourth Semester

E-BUSINESS APPLICATIONS

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. Distinguish traditional application with E-Business application.

2. What are the factors that Influence on-line advertising?

3. What is encryption?

4. What are the benefits of EDI?

5. Distinguish between BPR and ERP.

Part B (5 × 10 = 50)

Answer **all** questions choosing either (a) or (b).

All questions carry equal marks.

6. (a) Explain the factors you would consider to build effective e-business architecture.

Or

(b) Explain the major challenges of B2C e-business model.

7. (a) Discuss the functions of e-commerce.

Or

(b) What is an on-line catalog? Compare and contrast on-line catalogs with paper catalogs.

8. (a) Describe the security issues in Internet banking.

Or

(b) Highlight the salient features of modern electronic clearing and settlement systems.

9. (a) What is EDI? How EDI applications are beneficial to e-business?

Or

(b) Examine why EDI has not reached critical mass.

10. (a) Describe the ERP model of integrated management information.

Or

(b) Describe the potential application areas of data mining with examples.

Part C $(1 \times 10 = 10)$

Compulsory.

11. Flipkart.com aims mostly at people who would like to buy books online in India. What the company calls the "steroids" for its website are low prices, free shipping and an intuitive interface that makes it very convenient to search for books. The site has a young and trendy look and feel. Flipkart.com was launched by a passionate group of professionals who aimed at giving Indians a good online shopping experience and excellent customer service. Technological initiatives were focused on making the search for books faster and more convenient.

In its social media initiatives, Flipkart.com aims at facilitating an easier conversation channel for customers and users. Conversations are to the point and are targeted at specific issues, thoughts and ideas. Flipkart.com began activities to make its presence felt on Facebook and Twitter about a year ago. The company has also used LinkedIn to connect with people. The popularity of the site has grown through recommendations.... people recommending the site to their family, friends and co-workers. And what better platform than social media to leverage 'word-of-mouth'! Flipkart.com recognized that using social media is about being human. The people who manage their channels infuse Flipkart's culture and personality in what they do or say in tandem with their own personality.

"Social Media have feedback mechanism built into them, which needless to say benefits both the customer and the brand," says Mr. Sachin Bansal, CEO and Co-founder of Flipkart.com. "What's key is to listen to what is being said about you (as opposed to hear), and for that matter being said directly to you. Users will be brutally honest if you give them an opportunity. The onus then lies solely upon you and your brand, about what you do with the feedback. That's where we've seen tremendous benefit. "Transparency and Honesty is the key. If you value these traits as an organization, Social Media will help amplify it," adds Mr. Bansal. Flipkart.com has a strong presence on Facebook, with a staggering number of fans. The company has more than 6,90,000 fans and has used easy, interesting conversations to engage them. Flipkart.com has 2,877 followers on twitter. Flipkart.com'sAlexa global ranking is 2,101, while its India ranking is 164. The investment in social media has been in terms of time and effort. Almost everyone at Flipkart monitors social platforms.

Questions : (2+5+3)

(a) What is the revenue model of flipkart.com?

(b) Enumerate the strengths and weaknesses of flipkart.com.

(c) What is the strategic advantage of flipkart.com?

RW–10898

Sub. Code
611101

M.Com. DEGREE EXAMINATION, APRIL 2016

First Semester

Commerce

ADVANCED FINANCIAL ACCOUNTING

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Section A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. What is Going concern concept?

2. Explain accounting standards as to depreciation.

3. Differentiate between dissolution and liquidation.

4. An asset is purchased for Rs. 25,000. Depreciation is to be provided annually according to the straight line method. The useful life of the asset is 10 years and the residual value is Rs. 500. Find out the rate of depreciation and prepare asset account for 3 years.

5. Explain the usual bases of apportionment of various joint expenses.

Section B (5 × 10 = 50)

Answer **all** questions, choosing either (a) or (b).

All questions carry equal marks.

6. (a) A company purchased a second hand plant for Rs. 30,000. It immediately spent on it Rs. 5,000. The plant was put to use on 1.1.1996. After having used it for 6 years it was sold for Rs. 15,000. You are required to prepare the plant account for all the six years, providing depreciation at 10% p.a on original cost.

Or

(b) On April 1, 1995, Samkar purchased a T.V.S. champ on hire purchase system from Saravanan. The cash price was Rs. 14,900 Rs. 4,000 was to be paid on delivery and the balance in three instalments of Rs. 4,000 each at the end of each year. Saravanan charged interest at 5% p.a., Shankar depreciates the asset at 10% p.a. On the diminishing balance method. Pass necessary journal entries for 1995-96 only.

7. (a) Explain the various accounting conventions.

Or

(b) How will you show the items relating to bad debts, provision for doubtful debts and debtors in the final accounts of a trader from the following figures given in the trial balance.

(i) Debtors Rs. 1,02,000; Bad debts Rs. 5,000; Provision for doubtful debts Rs. 6,000.

Provide further bad debts of Rs. 2,000 and make a provision for doubtful debts at 5% on Sundry debtors.

(ii) Debtors Rs. 1,02,000; Bad debts Rs. 1,000; Old provision for doubtful debts Rs. 6,000.

Provide further bad debts of Rs. 2,000 and make a provision for doubtful debts at 2% on sundry debtors.

8. (a) From the following particulars. prepare branch account showing the profit or loss of the branch :

Opening stock at the branch	–	Rs. 30,000
Goods sent to branch	–	Rs. 90,000
Sales (cash)	–	Rs. 1,20,000
Expenses :		
Salaries	–	Rs. 10,000
Other expenses	–	Rs. 4,000

Closing stock could not be ascertained, but it is known that the branch usually sells at cost plus 20%. The branch manager is entitled to a commission of 5% on the profit of the branch before charging such commission.

Or

(b) The trading and profit and loss a/c of a concern having three departments is as follows for the year ending 31.3.2003. Prepare Departmental Trading a/c.

Purchases	Rs.	Sales	Rs.
Televisions (A)	1,40,700	Television (A)	1,50,000
Radios (B)	90,600	Radios (B)	1,00,000
Spare parts for services (C)	64,400	Receipt for servicing (C)	25,000
Salaries and wages	48,000	Closing stock :	
Rent	10,800	Television (A)	60,100
Sundry expenses	11,000	Radios (B)	20,300
Profit	34,500	Spare parts (C)	44,600
	4,00,000		4,00,000

9. (a) Sita Raman, a trader, does not keep proper books of accounts. However, he provides the following particulars :

	31.12.2001 Rs.	31.12.2002 Rs.
Cash at bank	4,500	3,000
Cash in hand	300	4,000
Stock in trade	40,000	45,000
Debtors	12,000	20,000
Equipment	5,000	5,000
Creditors	30,000	20,000
Furniture	4,000	4,000

During the year 2002, Sita Raman introduced Rs. 6,000 as additional capital and withdrew Rs. 4,000 as drawings. Write off depreciation on furniture at 10% and on equipment at 5%.

Prepare a statement showing the profit or loss made by him for the year ended 31.12.2002.

Or

(b) A and B are partners sharing profits in 2:1 ratio. On 1st Jan 2003, they agree to admit C as a partner. C agreeing to contribute Rs. 50,000 as his capital. A, B and C agree to share profits and losses in the ratio of 2:3:3 respectively the balance sheet of A and B on Dec. 31, 2002 was as under :

Liabilities	Rs.	Assets	Rs.
Sundry creditors	50,000	Cash at bank	6,250
A's capital	62,500	Stock on hand	50,000
B's capital	37,500	Debtors	31,250
		Plant	25,000
		Premises	37,500
	1,50,000		1,50,000

They agree to value the assets as follows :

Stock on hand Rs. 45,000, Plant Rs. 18,000, Premises Rs. 50,000, a provision of 5% for doubtful debts is to be maintained. C agrees to transfer Rs. 15,000 to A's capital for goodwill from his capital account.

Pass journal entries and prepare revised balance sheet.

10. (a) P, Q, R were partners in a firm sharing profits and losses as $\frac{1}{3}, \frac{1}{2}, \frac{1}{6}$ respectively. The balance sheet as on 31.12.02 was as follows:

Liabilities		Assets		
Sundry creditors	35,000	Buildings		50,000
Loan payable	15,000	Machinery		40,000
Reserve fund	16,000	Furniture		10,000
Capital A/c's:		Stock		25,000
P	30,000	Debtors	18,000	
Q	40,000	(-) Reserve	500	17,500
R	25,000	Cash in hand		8,500
	1,51,000			1,51,000

R retires on 31.12.02 subject to the following conditions.

(i) A goodwill account is created in the books at Rs. 24,000

(ii) Machinery to be depreciated by 10%

(iii) Furniture to be depreciated by 5%

(iv) Stock to be appreciated by 15% and factory building by 10%

(v) Reserve for doubtful debts to be raised to Rs. 2,000.

Prepare necessary ledger accounts and show the balance sheet of the new firm.

Or

(b) Explain accounting standards as to: Inventories and borrowing costs.

Section C (1 × 10 = 10)

Compulsory question.

11. Achyut, Bharat and Patwardhan are carrying on partnership business as equal partners. On 31st Dec 1990 Patwardhan dies and the capitals of the Partners after necessary adjustments stood at Rs. 20,000; Rs. 30,000 and Rs. 50,000 respectively. Achyut and Bharat could settle the account of the executors of Patwardhan only on 31st March 1991 by which time the partnership made a profit of Rs. 9,000. As there was no contract regarding the share to be given in the subsequent profits made by the firm; the executors wanted to exercise option available under Sec. 37 of the Partnership Act. Determine the amount payable to the executors.

RW–10899

Sub. Code
611102

M.Com. DEGREE EXAMINATION, APRIL 2016.

First Semester

ENTREPRENEURSHIP DEVELOPMENT

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

1. Distinguish between entrepreneur and businessman.

2. Who are Copreneurs?

3. Mention three objectives of SIPCOT.

4. What useful purpose does Differential Rate of Interest (DRI) scheme serve?

5. Distinguish between business idea and business opportunity.

Part B (5 × 10 = 50)

Answer all questions, choosing either (a) or (b).

6. (a) Explain the different types of entrepreneurs.

Or

(b) Discuss the qualities of a successful entrepreneurs.

7. (a) What are the measures taken by the Government of India to promote women entrepreneurship in India?

Or

(b) Explain the different phases of entrepreneurial development programme.

8. (a) What is DIC? Explain its functions and comment on its effectiveness.

Or

(b) Discuss the role and functions of National Institute for Entrepreneurship and Small Business Development(NIESBUD).

9. (a) Explain the details of loan scheme for entrepreneurship under TABCEDCO.

Or

(b) Explain the salient features of the revised TREAD scheme for empowerment of women.

10. (a) Discuss any three methods of generating business propositions from market sources.

Or

(b) How Porter's five forces model would assist in analyzing the competition and devising strategies to overcome the same while formulating entrepreneurial ventures.

Part C (1 × 10 = 10)

(Compulsory)

11. Read the following case and answer the questions.
M/s Johnson Metal Inc.

Mr. Johnson owns a small manufacturing plant that makes hinges and small hardware used on kitchen cabinets. When he began three years ago, Johnson took a five-year, Rs. 6 Lakhs loan from a commercial bank, using his private home as collateral. During the first two years, Johnson was barely able to keep afloat. After meeting his bank obligations, he was able to take a small salary for himself. In the third year, he decided to make several changes to boost sales and 'profits.

Johnson began to quote lower prices than he had before, in the hope that higher volume would lead to more profits. His reduced prices did improve volume, but this higher volume brought increased overtime as his employees worked to fill orders. When he realized how costly overtime had become, he decided to hire extra employees instead. This decision created crowded conditions that led to enormous inefficiency. Because of the crowded conditions, he could only purchase the materials that he needed and could not take advantage of quantity discounts from suppliers.

In addition, the larger volume of business meant accounts receivable and higher cash needs so, although he was needed to oversee production, he spent more and more of his time on the telephone trying to get customers to pay more quickly. When the February installment of his loan came due, Johnson found that he was unable to meet it. He could not even pay his own salary. He asked the bank for more money, but he was told that he had exhausted his credit. The bank agreed to let him postpone several payments until his cash flow improved. When he looked at his books at year's end, Johnson found that he had earned even less than the year before. He had little recourse but to ask his family to help him keep the business afloat.

Questions:

(a) How did Johnson's managerial decisions affect the success of his business?

(b) How important was 'the people factor' in Johnson's business?

(c) What specific money factors influenced the changes in his business?

(d) How would you have tried to make this business more profitable?

RW–10900

Sub. Code
611103

M.Com. DEGREE EXAMINATION, APRIL 2016

First Semester

PRINCIPLES AND PRACTICE OF MANAGEMENT

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. Is management a profession? Justify your comment.

2. Distinguish between decision making under certainty and uncertainty.

3. What is informal organization?

4. What is grapevine?

5. Enumerate the important features of coordination.

Part B (5 × 10 = 50)

Answer **all** questions choosing either (a) or (b).

All questions carry equal marks.

6. (a) Explain bureaucratic management and its characteristics.

Or

(b) Briefly explain the principles of scientific management.

7. (a) Describe the steps in planning.

Or

(b) Define decision-making. Explain the basic characteristics of decision making process.

8. (a) Explain the factors which influence the span of management.

Or

(b) What are the important sources of conflict between line and staff managers?

9. (a) Discuss different leadership styles.

Or

(b) Explain Herzberg's Two-factor Theory of Motivation.

10. (a) Discuss the process of control.

Or

(b) Write short notes on any two of the following

(i) Business Process Engineering

(ii) Six-Sigma

(iii) Balanced Score Card.

Part C $(1 \times 10 = 10)$

(Compulsory)

11. Read the following case and answer the questions.

Reliance and Faith Ltd. is a large company manufacturing a variety of electrical goods. For each of its major product lines, the company has created a separate division headed by manager. The company's policy is to provide each division with the tools and responsibility for profit from a product or product line.

Each division is individually accountable for a share of the total company profits. This is determined on the basis of the total company assets under each department, though modifications are always made keeping in view the economic and other conditions prevailing in the market.

Though each division works within the framework of broad policy guidelines and direction provided by the top management, it enjoys complete freedom in its own sphere of activities. So much so that if any material required by one division happens to be manufactured by another division, the former has liberty either to buy it from the latter, or to get it from outside if considerations of quality or price make it appear more profitable.

Each division has its own balance sheet and profit and loss statement and, in the words of the company's managing director, this policy has paid rich dividends, in the sense that responsibility for profits is a greater stimulant to effective personal efforts than any other type of responsibility.

(a) Is this a case of decentralization or a wide delegation of authority.

(b) Do you think that organization of a company along these lines results in diseconomies.

RW–10901

Sub. Code
611104

M.Com. DEGREE EXAMINATION, APRIL 2016

First Semester

MANAGEMENT OF HUMAN RESOURCES

(CBCS - 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. Distinguish between personnel management and HRM.

2. What is succession planning?

3. What is Separation?

4. Explain what is ESOP.

5. What is collective bargaining?

Part B (5 × 10 = 50)

Answer **all** questions choosing either (a) or (b).

All questions carry equal marks.

6. (a) Identify the different functions of human resource management in today's industrial scenario.

Or

(b) Explain the importance of Human Resource Management.

7. (a) Explain the HR planning process.

Or

(b) Discuss the various factors that affect recruitment.

8. (a) Discuss the training methods for non-managerial workers including supervisors.

Or

(b) Define employee promotion, demotion and transfers. What are the types and basis of promotions and transfers?

9. (a) What HRIS? Describe the nature and type of information that falls under HRIS.

Or

(b) Evaluate the various methods of job evaluation.

10. (a) Explain the legislative provisions of welfare and safety which an employer has to provide.

Or

(b) Discuss the reasons for multiplicity of trade unions.

Part C $(1 \times 10 = 10)$

(Compulsory)

11. Read the following case and answer the questions.

Naik, AGM materials, is fuming and fretting. He bumped into Kamath, GM materials, threw the resignation letter on his table, shouted and walked out of the room swiftly. Naik has reason for his sudden outburst. He has been driven to the wall. Perhaps, details of the story will tell

the reasons for Naik's bile and why he put in his papers, barely four months after he took up his present assignment.

The year was 1995 when Naik quit the prestigious SAIL plant at Vishakapatnam. As manager materials, Naik enjoyed powers-he could even place an order for materials worth 25 lakh. He needed nobody's prior approval.

Naik joined a pulp-making plant located at Harihar in Karnataka, as AGM materials. The plant is a part of the multi product and multi-plant conglomerate owned by a pretigious business house in India. Obviously, perks, designation and reputation of the conglomerate lured Naik away from the public sector steel monolith.

When he joined the pulp-making company, little did Naik realize that he needed prior approval to place an order for materials worth 12 lakh. He had presumed that he had the authority to place an order by himself worth half the amount of what he used to do at megasteel maker. He placed the order, materials arrived, were received, accepted and used up in the plant.

Trouble started when the bill for 12 lakh came from the vendor. The accounts department withheld payment for the reason that the bill was not endorsed by Kamath. Kamath refused to sign the bill as his approval was not taken by Naik before placing the order.

Naik felt fumigated and cheated. A brief encounter with Kamath only aggravated the problem. Naik was curtly told that he should have known company rules before venturing. Naik decided to quit.

Questions:

(a) Does the company have an orientation programme? If yes, how effective is it?

(b) If you were Naik, what would have you done?

RW–10902

Sub. Code
611501

M.Com. DEGREE EXAMINATION, APRIL 2016

First Semester

Commerce

INTERNATIONAL BUSINESS ENVIRONMENT

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Section A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. Write a short note on Regional Trade Blocks.

2. How will you calculate National GDP?

3. What relationship should exist between the state and the businesses?

4. Define MNC and its need.

5. What is a forward market?

Section B (5 × 10 = 50)

Answer **all** questions choosing either (a) or (b).

All questions carry equal marks.

6. (a) What are the causes and issues concerning globalisation of economies and businesses?

Or

(b) Critically examine the role of foreign direct Investment in business.

7. (a) Explain briefly the international economic environment of business.

Or

(b) How does technology play a vital role in International business?

8. (a) What are the factors affecting cultural environment of business at International level?

Or

(b) How will you measure and handle political risks?

9. (a) Explain the role of UNO and WTO in facilitating global business.

Or

(b) Critically examine the problems and contributions of MNCs in promoting International business.

10. (a) Briefly discuss on foreign exchange environment of businesses.

Or

(b) How will you compute forward and cross rates?

Section C $(1 \times 10 = 10)$

Compulsory Question.

11. In 1969, Union Carbide Corporation (UCC), a multinational enterprise in the chemical industry headquartered in Danbury, connectient, selected Bhopal as the site for its new pesticide plant in India. Twenty years later, this was to be the location of the worst

industrial accident in history. Over three thousand people were killed and scores of thousands left permanently injured as a toxic chemical gas enveloped forty square kilometers around the plant. Years after the accident, despite intensive analysis of the events leading to the disaster and numerous court battles, some fundamental questions remain unanswered. Who was at fault UCC or its subsidiary union cabide of India Limited (UCIL)? Was there negligence on the part of the management of the plant? What was the extent and nature of the cross–border liability of the parent company, UCC and how, if at all, is it responsible for the actions of its subsidiary UCIL?

RW–10904

Sub. Code
611701

M.Com. DEGREE EXAMINATION, APRIL 2016

First Semester

INSURANCE AND RISK MANAGEMENT

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. Distinguish between risk and uncertainty.

2. What useful purpose does nomination serve?

3. What is reinstatement value policy?

4. Distinguish between drawdown and maximum drawdown.

5. Distinguish between insurance and hedging.

Part B (5 × 10 = 50)

Answer **all** questions, choosing either (a) or (b).

All questions carry equal marks.

6. (a) Describe the various kinds of insurance.

Or

(b) What is the role of IRDA in the development of Insurance sector?

7. (a) Describe the procedure of issuing a life insurance policy.

Or

(b) Determine the different economic uses life insurance offers.

8. (a) What is the claim settlement procedure followed for a fire insurance policy?

Or

(b) Substantiate the claim that non-life insurance business surges ahead due to the entry of private insurance companies.

9. (a) What is value at risk and its limitations? Explain any one basic approach to compute value at risk.

Or

(b) What is the interaction between asset liability management and financial risk?

10. (a) What are the financial risks associated with

(i) Futures

(ii) Options (Option purchaser and Option writer).

Or

(b) On what basis you would choose hedging strategy? Compare and contrast at least three features of static and dynamic hedging.

Part C (1 × 10 = 10)

(Compulsory)

11. Read the following case and answer the questions.

(a) Pandey was covered with a LIC policy for a sum of Rs. 50,000 with Double Accident benefit. During the insurance policy cover, Pandey was shot dead by some miscreants. Wife of Pandey filed a claim with the LIC, she was asked to deposit certain documents like copy of post-mortem report, F.I.R etc. which could not be deposited by her. LIC paid Rs. 60,700 (sum assured along with vested bonuses) but refused the claim under double accident benefit. The contention of the LIC was that since under para-10 of the policy bond, the life assured (Pandey) was to furnish these documents to avail the double accident benefit to the satisfaction of the LIC. However, LIC did not take any initiative to make independent enquiries on its own to verify the cause of death of Pandey. Wife of Pandey won the case in court of law.

Can the insurer deny liability because of non-filing of documents? (4)

(b) In March 2010, an Air show was undertaken at Begumpet in Hyderabad which turned out to be very tragic for some people. Two pilots of naval aircraft and a civilian were killed after an aircraft crashed on a nearby residential building. Seven others were also injured in the mishap.

(i) What are the risks involved in the above event?

(ii) Identify and discuss, how such risks can be managed by insurance and who should be taking insurance? (6)

RW–10905

Sub. Code
611301

M.Com. DEGREE EXAMINATION, APRIL 2016

Third Semester

ADVANCED CORPORATE ACCOUNTING

(CBCS 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. Write a short note on Capital Redemption Reserve.

2. Distinguish between merger and purchase method of amalgamation.

3. What is minority interest? Give the accounting treatment for the same.

4. What is the meaning of "Non-Performing Assets".

5. What is the need for Accounting Standards.

Part B (5 × 10 = 50)

Answer **all** questions, choosing either (a) or (b).

All questions carry equal marks.

6. (a) Discuss any two models of Human Resources Accounting.

Or

(b) Discuss in detail relevance of accounting for price level changes.

7. (a) Distinguish between Internal Reconstruction and External Reconstruction.

Or

(b) H. Ltd was incorporated with a share capital of Rs. 12,00,000 in Rs. 10 shares. The Company purchased machinery from XZ Co for Rs. 6,00,000 payable in fully paid shares of the company at a premium of Rs. 2 per share. The directors also decided to allot 6,000 shares credited as fully paid to the promoters for their services. The rest of the shares were issued for cash at a discount of 10% and were taken up by the public. Give journal entries and show the balance sheet.

8. (a) On 14.1.2014, Rama Ltd issued 2500,8% Debentures of Rs. 100 each at a 5% discount. Holders of the debentures have option to convert their holdings into equity shares of Rs. 100 each at a premium of Rs. 25 per share at any time within 3 years. On 31.3.2015, holders of 500 Debentures notified their intention to exercise the option. Show the necessary journal entries in the Company's books relating to issue and conversion of the debentures. Also show how the items affected would appear in the Company's balance sheet.

Or

(b) Ratna Corporation Ltd. was incorporated on 30th June 2000 to purchase the business of Soman from 1-1-2000. The annual accounts prepared on 31-12-2000 disclosed that

(i) Sales for the year was Rs. 6,00,000 of which Rs. 2,40,000 was for the first 6 months.

(ii) The gross profit for the year was Rs. 1,00,000

(iii) Director's fees paid was Rs. 10,000, bad debts were Rs. 3,000, General expenses Rs. 50,000.

(iv) Advertising (under a contract at Rs. 1,000 per month) Rs. 12,000

(v) Preliminary expenses written off Rs. 2,000 and donation to charities given by the company Rs. 3,000. Find out pre and post incorporation profit.

9. (a) While closing the books of account, a commercial bank has its advances classified as follows: (Amount: Rs. in lakhs)

	Rs.
Standard assets	16,000
Sub-standard assets	1,300
Doubtful assets:	
Up to one year	700
One to three years	400
More than three years	200
Loss assets	500

You are required to calculate the amount of provisions to be made by the bank.

Or

(b) The following were the balance sheets of Large Ltd. and Little Ltd. as on 31.12.2007.

Liabilities	Large Ltd	Little Ltd.	Assets	Large Ltd.	Little Ltd.
Share Capital:			Buildings	90,000	10,000
Share Capital of Rs. 10 each	1,00,000	20,000	Shares in Little Ltd. at cost	28,000	–
General Reserve	40,000	3,000			
P&L A/c	30,000	–	Stock	25,000	8,000
Creditors	20,000	7,000	Debtors	35,000	7,000
			Bank	12,000	2,000
			P& L A/c	–	3,000
	1,90,000	30,000		1,90,000	30,000

When the Large Ltd. acquired 80% of the shares in Little Ltd. the latter had a credit balance of Profit & Loss A/c Rs. 2,000 and to General Reserve Rs. 3,000. Prepare the consolidated balance sheet.

10. (a) The following are the figures extracted from the books of New Era Bank Ltd., as on 31.3.2005 : (figures in rupees)

Interest and Discount received	37,05,738	Commission, exchange and	1,90,000
Interest paid on Deposits	20,37,452	brokerage	65,000
Issued and Subscribed Capital	10,00,000	Rent received	2,00,000
Salaries and Allowances	2,00,000	Profit on sale of investments	30,000

Directors' fees and allowances	30,000	Depreciation on Bank's properties	40,000
Rent and taxes paid	90,000	Stationery expenses	25,000
Postage and telegrams	60,286	Preliminary expenses	5,000
Statutory Reserve Fund	8,00,000	Auditor's fees	

Other information :

(i) Transfer 25% of Profit to Statutory Reserve

(ii) Provide Rs. 6,50,000 for doubtful debts

(iii) Rebate on bills discounted on 31.3.2004 was Rs. 12,000 and on 31.3.2005 was Rs. 16,000.

(iv) Provide Rs. 6,50,000 for Income Tax.

(v) The directors desire to declare 10% dividend Prepare the Profit and Loss Account for the year ended on 31.3.2005.

Or

(b) S Ltd. has the capital of Rs.3,00,000 in shares of Rs.10 each out of which H Ltd. purchased 80% at Rs.3,80,000. The profits of S Ltd. at the time of purchase of shares by H Ltd. were Rs.1,20,000. S Ltd. decided to make a bonus issue out of pre acquisition profits of one share of Rs.10 each fully paid for every three shares held. Calculate the cost of control for H Ltd. before and after the issue of bonus shares

Part C (1 × 10 = 10)

Compulsory

11. The following are the balance sheets of Y Ltd. and X Ltd. as on 31-3-2002.

Liabilities	Y Ltd	XLtd		YLtd	XLtd
Share Capital:			Buildings	75,000	2,80,000
Shares of Rs. 10 each	2,00,000	3,00,000	Loan to X Ltd	40,000	–
P&L A/c	30,000	50,000	Investments in 50,000 Shares of X Ltd.	50,000	–
Loan from Y			Stock	55,000	70,000
Ltd	–	40,000	Debtors	20,000	35,000
Creditors	20,000	10,000	Cash at bank	10,000	15,000
	2,50,000	4,00,000		2,50,000	4,00,000

X Ltd absorbs the business of Y Ltd. on the condition that is has to issue the equal number of shares of Rs. 10 each at Rs. 11 per share held by the members of Y Ltd. Give the ledger accounts in the books of Y Ltd. and journal entries in the of X Ltd; and also prepare the balance sheet of X Ltd. after absorption(apply purchase method).

RW–10906

Sub. Code
611302

M.Com. DEGREE EXAMINATION, APRIL 2016.

Third Semester

MODERN MARKETING MANAGEMENT

(2012 Onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

1. Discuss the different approaches to marketing

2. What are the objectives of Marketing Research?

3. What are the advantage of Packaging?

4. What are the functions of Middlemen?

5. Explain the steps in selling.

Part B (5 × 10 = 50)

Answer **all** questions, choosing either (a) or (b).

6. (a) Discuss the features of industrial, consumers and services marketing.

Or

(b) Explain the bases for segmenting tooth paste and shampoos.

7. (a) What is demand forecasting? What are the methods available to forecast the sales of umbrellas?

Or

(b) Explain in detail about the consumer buying process.

8. (a) Discuss in detail the stages in product life cycle and appropriate strategies adopted in each stage.

Or

(b) What is product obsolescence? As a marketer how will you overcome this problem?

9. (a) What type of pricing policies you would recommend for products like sports shoes, cooking oil and smart phones?

Or

(b) Explain the advantages of online marketing. What type of products are suitable for this method?

10. (a) Why firms are spending lot of money for advertising their products? Don't you think that this is waste of money? Justify your answer.

Or

(b) What is customer relationship marketing? What are the challenges involved in adopting this strategy to market hotel services?

Part C (1 × 10 = 10)

Compulsory

11. A popular consumer electronic goods manufacturing company has recently launched a new type smart phone with lots of innovative features like longer battery life, emergency solar charging option, in built huge memory storage and in built body temperature measurement. But the sales is not up to the mark. Hence the company has decided to offer sales promotion schemes to attract the customers and the retailers to stock more phones.

You are a marketing consultant and suggest suitable sales promotion schemes and also give reasons why you recommend these schemes?

RW–10907

Sub. Code
611303

M.Com. DEGREE EXAMINATION, APRIL 2016

Third Semester

BUSINESS LEGISLATIONS

(2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. What is breach of contract?

2. What is bailment?

3. What is caveat emptor?

4. Who is an agent?

5. What is an extraordinary general meeting?

Part B (5 × 10 = 50)

Answer **all** questions choosing either (a) or (b).

6. (a) Under what circumstances a contract said to be induced by undue influence. Distinguish between coercion and undue influence.

Or

(b) State the difference between contract and quasi contract.

7. (a) Explain when a surety is discharged from liability.

Or

(b) Describe the rights and duties of bailee with suitable examples.

8. (a) Under what circumstances the rule of caveat emptor is not applicable.

Or

(b) Define the terms 'complaint' and 'complainant' as used in the Consumer Protection Act, 1986 and enumerate the essentials of a valid complaint.

9. (a) Discuss the duties and liabilities of railway administration as a carrier of animal and goods.

Or

(b) Explain the duties, rights and liabilities of common carriers under the Common Carriers Act 1865.

10. (a) Describe the rules relating to removal of a director of a company.

Or

(b) What are the types of company meetings? Bring out the essentials of valid meeting.

Part C $(1 \times 10 = 10)$

Compulsory.

11. 'A' guarantees payment to 'B' a tea-dealer to the amount of Rs. 25,000 for any tea he may from time to time supply to 'C'. B supplies C with tea to the above value of Rs. 25,000 and C pays for it. Afterwards, B supplies C with the tea to the value of Rs. 50,000. C fails to pay. Is A liable to pay any amount to B? Explain your answer.

RW–10908

Sub. Code
611304

M.Com. DEGREE EXAMINATION, APRIL 2016

Third Semester

Commerce

INCOME TAX LAW AND TAX PLANNING

(2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Section A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. State the scope of total income.
2. What deductions are allowed from the annual value in computing taxable income from house property?
3. Write note on "Exempted capital gains".
4. State the provisions for setting of losses in respect of speculation business.
5. Write note on "Income Escaping Assessment".

Section B (5 × 10 = 50)

Answer **all** questions choosing either (a) or (b).

All questions carry equal marks.

6. (a) Describe the difference among the capital receipts, capital expenditure, revenue receipts and revenue payments.

Or

(b) Explain any ten incomes which are totally exempt from income tax.

7. (a) Miss. Sumitha is employed with a software company at Hyderabad. She received following incomes during the year ending 31.3.2014. Calculate her income from salary.

Basic salary ₹. 15,000 p.m

D.A. (forming part of pay for superannuation benefits) – 30% of basic salary.

She gets house rent allowance at the rate of ₹. 2,000 p.m.

She is provided with a car of 1.5 lt. Capacity engine with driver which was used partly for official and partly for private purposes.

The employer also paid her health club expenses amounting to ₹. 7,000

Ration bill of employee paid by the employer ₹. 20,000

She was provided with air ticket by her employer for her private journey ₹. 3,000

She took advance salary of 2 months.

She contributes 20% of salary to a recognised provident fund and her employer contributes the same

City compensatory allowance provided to her ₹. 1,500 p.m

She made a purchase of ₹. 15,000 from her credit card, the company provided the same.

Or

(b) Mr. Basu of Kolkata submits the following particulars of his let out residential house. Rent received for house as well as for various amenities provided to the tenant :

		₹.
(i)	For house	6,000 p.m
(ii)	For lift maintenance	500 p.m
(iii)	For security charges	500 p.m.
(iv)	For electricity and water	1000 p.m
	Municipal Valuation	70,000 p.a.
	Fair Rental value	56,000 p.a
	Standard Rent	60,000 p.a.
	Municipal Taxes (50% to be paid by tenant -10% of MRV)	
	Repairs expenses met by tenant	5,000
	Insurance premium paid by Mr. Basu	1,000
	Annual Charge imposed by Court in favour of his mother	10,000 p.a
	Interest on loan taken in 2008 for the renovation of the house	20,000 p.a.

In 2008-09 a tenant defaulter in the payment of rent to the tune of ₹. 36,000, but Mr. Basu could claim a deduction of ₹. 26,000 only in the previous year 2011-12. After a long litigation Mr. Basu could recover from the tenant only ₹. 20,000 during the previous year 2013-14. Mr. Basu spent ₹. 16,000 only to provide the above mentioned amenities to the tenant. Compute Mr. Basu's income from house property and any other income for the Assessment Year 2014-15.

8. (a) From the following statement, compute the income from profession of Dr. S.Kapoor if accounts are maintained on mercantile system :

	₹.		₹.
To Dispensary rent	36,000	By Visiting fees	45,000
To Electricity and water charges	6,000	By Consultation fees	1,25,000
To Telephone expenses	6,000	By Sales of medicine	72,000
To Salary to nurse and compounder	36,000	By Dividends	5,000
To Depreciation on surgical equipment	6,000		
To Purchase of medicine	36,000		
To Depreciation on X-ray machine	2,000		
To Income tax	5,500		
To Donation to Rama Krishna Mission	6,000		
To Motor car expenses	9,600		
To Depreciation on car	4,800		
To Net income	93,100		
	2,47,000		2,47,000

Note :

(i) Electricity and water charges include domestic bill of ₹. 2,500.

(ii) Half of motor car expenses are for professional use.

(iii) Telephone expenses include 40% for personal use.

(iv) Opening stock of medicine was ₹. 6,000 and closing stock ₹. 4,000.

Or

(b) Mr. X owns a residential house at Bangalore. From the following information compute the amount of capital gains.

	₹.
Cost of construction (during 94-95)	4,00,000
Cost of additions and improvements (during 97-98)	2,00,000
Sale consideration (sale made on 10.10.2013)	29,00,000
Expenses o transfer	20,000
Cost of new house purchase in Hyderabad (on 15.l.2014) (House is half finished)	5,00,000
Amount deposited in capital gain deposit scheme in SBI on 25-7-2014. An amount of ₹. 2,00,000 withdrawn from capital gain deposit scheme on 12th May 2016 and utilized for the completion of the house. Cost inflation index for 1994-95 is 259, for 1997-98 is 331 and for 2013-14 is 939	3,00,000

9. (a) Determine the total income from following particulars :

	Previous Year 2012-13 ₹	Previous Year 2013-14 ₹
House Property income (computed)	20,000	20,000
Salary income (computed)	1,80,000	1,90,000
Business Profit before depreciation	40,000	1,20,000
Depreciation for the year	1,20,000	1,40,000
Capital Gain-short term	10,000	Nil
Income from Other Sources	20,000	40,000

Or

(b) From the following particulars, determine assessable profit or loss to be carried forward as the case may be for the assessment year 2014-15 :

	₹.
Loss for 2006-2007 carried forward	1,00,000
Loss for 2007-08 carried forward	15,000
Depreciation allowance for 2007-08 carried forward	5,000
Loss for 2008-09 carried forward	10,000
Depreciation allowance for 2008-09 carried forward	5,000
Loss for 2009-10 carried forward	5,000
Depreciation allowance for 2009-10 CIF	2,500
Loss for 2010-11 carried forward	5,000
Depreciation allowance for 2010-11 carried forward	2,500
Profit for 2011-12	15,000
Depreciation due for 2011-12	5,000
Profit for 2012-13	50,000
Depreciation due for 2010-11	10,000
Profit for 2013-2014	1,20,000
Depreciation due for 2013-2014	10,000

Determination of Assessable Profits

10. (a) Explain in brief the provisions of income tax law relating to "Advance payment of tax".

Or

(b) Explain the procedure to compute advance tax.

Section C (1 × 10 = 10)

(Compulsory Question)

11. From the following Profit and Loss Account of a manufacturer, calculate the income under the head 'Profits and Gains of Business or Profession' for the year ending on 31st March 2014.

	₹.		₹.
Salaries to employees	95,000	Gross Profit	3,80,000
Advertisement expenses (in cash)	24,000	Bad debts recovered (allowed earlier)	12,000
General Expenses	16,000	Interest form securities	14,000
Entertainment expenses	22,000	Income form Houses property	25,000
Bad Debts	1,000		
Drawings by the proprietor	24,000		
Sales-tax (due and paid on 1-7-2013)	6,000		
Interest on Proprietor's capital	7,000		
Repairs	2,500		
Rent	21,000		
Legal Expenses	5,000		
Depreciation	15,500		
Bonus (due)	6,000		
Bonus to the proprietor	4,000		
Car purchased	72,000		
Expenses on car during the year	12,000		
Donations			

	₹.		₹.
Provisions for bad debts	2,000		
Net Profit	6,000		
	90,000		
	4,31,000		4,31,000

From the examination of books of accounts, the following other information's are available :

(a) Advertisement expenses were spent on insertions in news papers.

(b) ₹. 3,000 were spent on purchase of land and are included in legal expense.

(c) Half of the repair expenses were on let-out building.

(d) Depreciation allowable on all assets including car is ₹. 14,400

(e) Bonus was paid to employees on 30.6.2014 and date of filing of return is 31.7.2014.

RW–10716

Sub. Code
611201

M.Com. DEGREE EXAMINATION, APRIL 2016

ADVANCED MANAGEMENT ACCOUNTING

(2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Section A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. What are the objectives of management accounting?

2. What are the profitability ratios?

3. What are the types of working capital?

4. State the advantages of Zero-Base Budgeting.

5. State the role of contribution.

Section B (5 × 10 = 50)

Answer **all** questions choosing either (a) or (b).

All questions carry equal marks.

6. (a) What are the functions of the management accounting?

Or

(b) Discuss the scope of management accounting.

7. (a) State the difference between common size statement and comparative statement.

Or

(b) The following data represents the ratios pertaining to X. Co. Ltd. for the year ending 31st March 2010:

Annual Sales	₹ 40,00,000
Sales to Net Worth	5 times
Current Liabilities to Net Worth	50%
Total Debts to Net worth	80%
Current Ratio	2.2
Sales to Inventory	8 times
Average Collection Period	40 days
Fixed Assets to Net Worth	70%

From the above motioned particulars, prepare the Balance Sheet of X co. Ltd. as on 31st March 2010. Assume that all sales are made on credit.

8. (a) Explain various methods of accounting for price level changes.

Or

(b) The following details are available from a company.

	31–3–06	31–3–07		31–3–06	31–3–07
	₹	₹		₹	₹
Share Capital	70,000	74,000	Cash	9,000	7,800
Debentures	12,000	6,000	Debtors	14,900	17,700
Reserve for doubtful debts	700	800	Stock	49,200	42,700
Trade Creditors	10,360	11,840	Land	20,000	30,000
P/L A/c	10,040	10,560	Goodwill	10,000	5,000
	1,03,100	1,03,200		1,03,100	1,03,200

In addition, you are given:

(i) Dividend paid total Rs. 3,500.

(ii) Land was purchased for Rs. 10,000.

(iii) Amount provided for amortisation of goodwill Rs. 5,000.

(iv) Debentures paid off Rs. 6,000.

Prepare Cash Flow Statement.

9. (a) Mathumetha & co. has given the following particulars. You are required to prepare a cash budget for the three months ending 31st December 2007:

(i)

Months	Sales	Materials	Wages	Overheads
	₹	₹	₹	₹
August	20,000	10,200	3,800	1,900
September	21,000	10,000	3,800	2,100
October	23,000	9,800	4,000	2,300
November	25,000	10,000	4,200	2,400
December	30,000	10,800	4,500	2,500

(ii) Credit terms are:

Debtors: 50% of the credit sales are collected next month and the balance in the following month.

Creditors:	Materials	2 months
	Wages	1 month
	Overheads	½ month

(iii) Cash balance on 1st October, 2007 is expected to be ₹ 8,000.

(iv) Advance to be received from sale of vehicle ₹ 20,000 in December.

(v) Income tax (advance) to be paid in December ₹ 5,000.

Or

(b) The expenses budgeted for production of 10,000 units in a factory are given below:

	₹ Per unit
Material	70
Labour	25
Variable overheads	20
Fixed overheads (₹ 1,00,000)	10
Variable overheads (Direct)	5
Adm. Overheads (₹ 50,000)	5
Selling Overheads (10% fixed)	13
Distribution Exp. (l0% fixed)	7
	155

Prepare a budget of the production (i) 8,000 units (ii) 6,000 units. Assume that the administration expenses are rigid for all levels of production.

10. (a) The cost, volume and profit relationship of a company is described by equation Y= ₹. 3,00,000 + 0.7 X in which X represents sales and Y represents total cost. Find out

(i) P.V.Ratio

(ii) Break Even Point

(iii) Sales volume required to earn a profit of ₹. 60,000

(iv) Sales volume when there is a loss of ₹.30,000.

Or

(b) There are two similar factories under the same management. The management desires to merge these two plants. The following particulars are available.

	Factory I	Factory II
Capacity operation	100%	60%
Sales	₹ 300 Lakhs	₹ 120 Lakhs
Variable costs	₹ 200 Lakhs	₹ 90 Lakhs
Fixed costs	₹ 40 Lakhs	₹ 20 Lakhs

You are required to calculate:

(i) What would be the capacity of the merged plant to be operated for the purpose of break-even?

(ii) What would be the profitability on working at 75% of the merged capacity?

Section C (1 × 10 = 10)

Compulsory question.

11. Following are the comparative Balance Sheets of Good Luck Co. as at 31st March.

Liabilities	2006	2007	Assets	2006	2007
	₹	₹		₹	₹
Share capital	10,00,000	11,00,000	Good will	50,000	40,000
Debentures	5,00,000	3,00,000	Land & Build	4,20,000	6,60,000
General reserve	2,00,000	2,00,000	Plant	6,00,000	8,00,000
Profit & Loss	1,10,000	1,90,000	Stocks	2,50,000	2,10,000
Income tax prov	40,000	1,10,000	Debtors	3,00,000	2,40,000
Creditors	50,000	40,000	Cash	3,00,000	24,000
Bills payable	20,000	30,000	Preliminary Expenses	30,000	20,000
Provision for Doubtful debts	30,000	24,000			
	19,50,000	19,94,000		19,50,000	19,94,000

Additional Information

(a) Dividend for ₹ 1,00,000 was paid during the year ended 31st March 2006.

(b) Depreciation for the year 2006-07 was provided as follows;

	₹
Land and Building	10,000
Plant and machinery	50,000

(c) Income tax ₹50,000 was paid during the year 2007.

You are required to prepare :

(i) A Schedule of change in working capital and

(ii) A Statement showing the sources and Application of Funds.